

AIB AXYS AFRICA

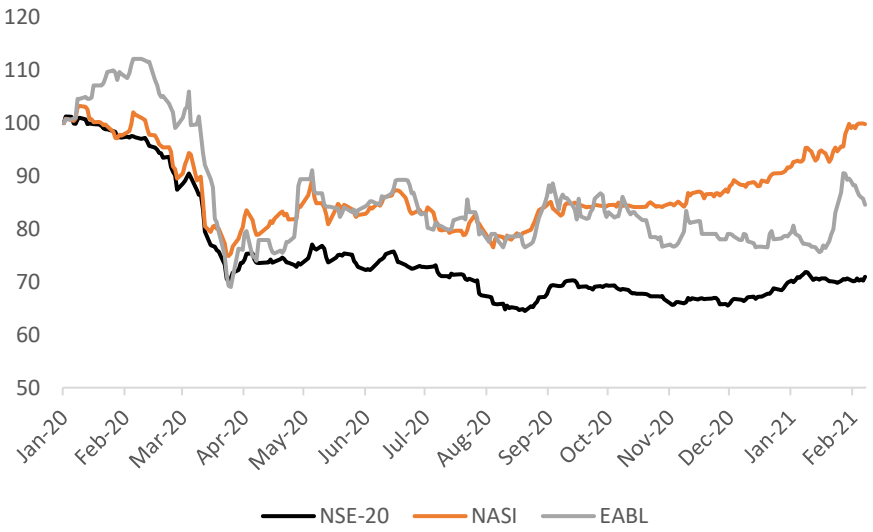
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"She stood in the storm and when the wind did not blow her way, she adjusted her sails." — Elizabeth Edwards

We revise our **BUY** recommendation on EABL from a **target price** of **KES 188.20** to **KES 205.21** offering a potential **upside of 17.4%** on **the current price** of **KES 174.75**. Our upward valuation is informed by foreseen improvement in the brewers' earnings on the back of continued recovery in the economy as the government effects measures to boost economic growth. Our view is further informed by the counters fall in price following the bear run at the bourse on investor jitters due to the pandemic, with the price expected to recover in tandem with re-entry of investors in the market.

Graph 1: EABL vs Indices



Source: AIB-AXYS Research, Company Fillings

Key issues that have stood out for us include:

The positive

- General recovery in the economy expected to see an improvement in sales volumes.
- Sharp recovery in Senator Keg sales
- Continued rise in consumption of spirits

DATE:	**12th March,2021**
Recommendation	**BUY**
Target price	**KES 205.21**
Current price	**KES 174.75**
Upside	**17.4%**
52 Week Low	**KES 135.25**
52 Week High	**KES 230.00**
EPS:	**KES 8.88**
DPS (Total):	**KES 3.00**

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CERTIFICATIONS & REQUIRED DISCLOSURES BEGIN ON PAGE 6

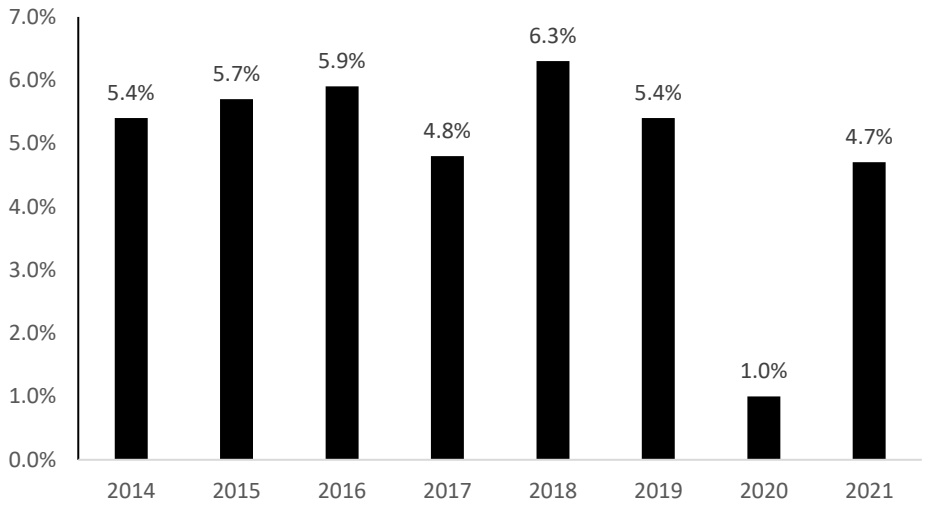
Recovery in the general economy

According to IMF, Kenya's GDP is projected to grow at 4.7% in 2021 and 6.1% in 2022 on the back of eventual rebound in economic activity as effects of the COVID-19 pandemic diminishes following the resumption of business activities in the country. Growth will be fueled by recovery in local activity and expectations of a vaccine-powered strengthening of economy later in the year, which may outweigh the drag on near-term momentum as infection cases continue to persist.

We forecast an improvement in activities in the private sector with the resumption of trade and manufacturing activities with the spillover effects expected to see the creation of employment improving household income hence increasing consumer demand.

Premised on this, we forecast a 5.0% y/y growth in gross sales to KES 140.0B supported by increased consumer demand and the reopening of bars and restaurants. In 1H21, the brewers' revenue declined 3% y/y to KES 44.4B but burgeoned 53% in comparison to 2H20 following the partial reopening of the economy.

Graph 2: Kenya's GDP Growth



Source: AIB-AXYS Research. IMF

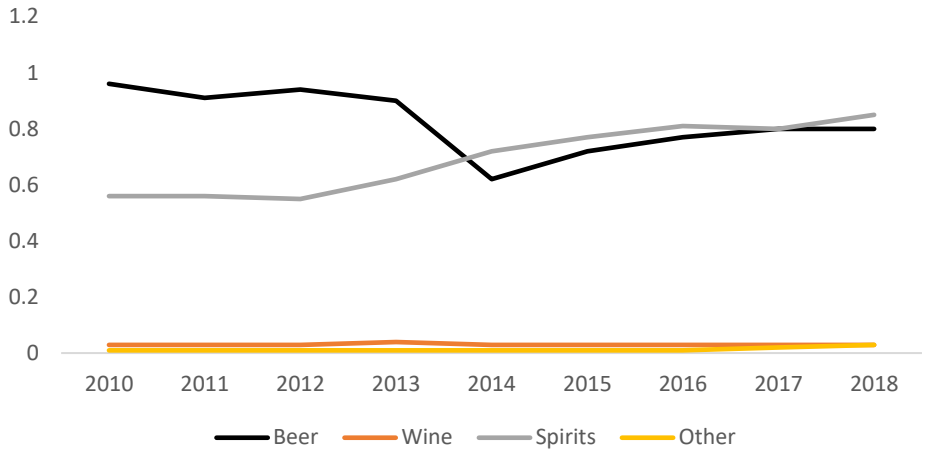
However, EABL may continue to face challenges in revenue growth following the persistence of COVID-19 control measures that has seen the persistence of the 10.00 pm curfew. The resurgence of COVID 19 infections following news of a third wave of infections may also see citizens remain cautious of large crowds avoiding entertainment joints. While Kenya has already received its second shipment of the COVID-19 vaccine with vaccination of front-line workers already in play, it is expected that the government will take time to get enough doses to cover the whole population.

Spirit category to drive growth

We expect growth in the top line to be driven by stable growth in the spirits category whose growth has persistently outperformed the beer category. According to alcohol consumption data from W.H.O, spirits have continued to gain market share from beer and wine fueled by continued premiumization of spirits by the brewer. This has further been boosted by the growth of retail shops whose major sales are in the spirits category.

In 1H21, mainstream spirits category grew 12% y/y while mainstream beer grew 1% y/y supporting the aforementioned. However, in the medium term, we may see E-commerce promote the consumption of beer following the packaging of beer in disposable cans that has facilitated the sale of beer in retail shops.

Graph 3. Alcohol Consumption in Kenya

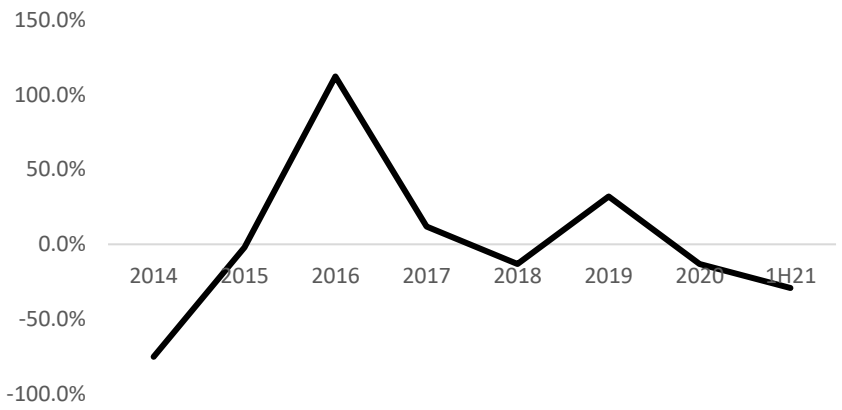


Source: AIB-AXYS Research. W.H.O

Recovery in Senator Keg

We forecast a sharp recovery in sales of Senator Keg driving topline growth. Senator Keg, whose consumers are mostly low-income earners was hard hit by effects of the pandemic due to job cuts that saw a decline in household income and the closure of bars and restaurants given that Senator does not have a takeaway option for sale. The category remains highly sensitive to the general economy, with continued recovery in the business environment anticipated to drive sales growth going forward.

Graph 4: Senator Keg Volume growth (%)



Source: AIB-AXYS Research. W.H.O

Table 1:Valuation Summary

Assumptions	
Risk Free Rate- 10 yr bond	12.3%
Beta	0.9
Risk Premium	5.0%
Cost of Equity	16.7%
Cost of Debt (1-T)	13.8%
Target Weighting of Debt	75.0%
Weighting of Equity	25.0%
WACC	14.5%
Long term growth rate	6.0%

Methodology	Fair Value Estimates	Weighting	Weighted Average
Discounted Cash Flows (DCF)	241.75	50%	120.87
Relative Valuation	168.67	50%	84.33
Target Price			205.21
Current Price			174.75
Upside			17.4%

Source: AIB-AXYS Research

Table 2: Financial Statements

Income Statement (KES M)		2019	2020	2021F	2022F	2023F	2024F
Net Sales		82,543	74,916	77,944	83,784	87,772	94,463
	% growth		*-9.2*	*4.0*	*7.5*	*4.8*	*7.6*
Cost of Sales		44,426	41,896	44,061	46,876	49,590	53,230
	% growth		*-5.7*	*5.2*	*6.4*	*5.8*	*7.3*
Gross Profit		38,117	33,020	33,883	36,908	38,181	41,234
	% growth		*-13.4*	*2.6*	*8.9*	*3.4*	*8.0*
Total Costs		20,302	22,365	21,600	22,818	23,879	25,390
	% growth		*10.2*	*-3.4*	*5.6*	*4.7*	*6.3*
Profit before tax		17,815	10,655	12,283	14,091	14,302	15,844
	% growth		*-40.2*	*15.3*	*14.7*	*1.5*	*10.8*
Income Tax Expenses		6,300	3,634	3,685	4,227	4,291	4,753
	% growth		*-42.3*	*1.4*	*14.7*	*1.5*	*10.8*
Profit after tax for the year		11,515	7,021	8,598	9,863	10,011	11,091
	% growth		*-39.0*	*22.5*	*14.7*	*1.5*	*10.8*
EPS (KES)		14.56	8.88	10.87	12.47	12.66	14.03
	% growth		*-39.0*	*22.5*	*14.7*	*1.5*	*10.8*
DPS (KES)		8.50	3.00	3.00	5.50	7.50	7.50

Statement of Financial Position (KES M)		2019	2020	2021F	2022F	2023F	2024F
Total equity		16,155	13,993	14,627	18,248	20,457	23,214
	% growth		*-13.4*	*4.5*	*24.8*	*12.1*	*13.5*
Non-current liabilities		37,251	43,621	44,314	47,086	49,120	52,217
	% growth		*17.1*	*1.6*	*6.3*	*4.3*	*6.3*
Total equity and non-current liabilities		53,406	57,614	58,940	65,334	69,577	75,431
	% growth		*7.9*	*2.3*	*10.8*	*6.5*	*8.4*
Non-current assets		57,463	62,690	64,098	63,234	62,637	61,216
	% growth		*9.1*	*2.2*	*-1.3*	*-0.9*	*-2.3*
Current assets		29,602	25,968	25,144	27,838	23,918	30,371
	% growth		*-12.3*	*-3.2*	*10.7*	*-14.1*	*27.0*
Current liabilities		33,659	31,045	30,379	28,993	33,589	29,364
	% growth		*-7.8*	*-2.1*	*-4.6*	*15.9*	*-12.6*

Ratios	2019	2020	2021F	2022F	2023F	2024F
EBIT Margin(%)	25.7	25.7	19.3	22.3	26.0	26.3
EBITDA Margin(%)	30.1	30.1	25.7	28.7	31.9	32.4
Net debt/EBITDA	1.3	1.3	1.9	1.7	1.5	1.5
Gross profit margin(%)	46.2	46.2	44.1	43.5	44.1	43.5
Net profit margin (%)	14.0	14.0	9.4	11.0	11.8	11.4
Payout ratio (%)	58.4	58.4	33.8	27.6	44.1	59.2
ROaA (%)	23.3	23.3	12.6	14.8	16.3	17.4
ROaE (%)	52.2	82.8	46.6	60.1	60.0	51.7
P/E (x)			**18.9**			
P/B (x)			**11.1**			
Dividend yield (%)			**1.5**			

Source: AIB-AXYS Research



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